



Managing the Business

Running your own business is rewarding, but as it grows, it can be hard for one person to deal with every aspect. You may need to bring in people to manage different areas of the operation.

Identifying skills

At the beginning, you are likely to take on most roles in your business to keep costs down. Even after you take on your first employee, you will probably still oversee all areas of management, such as production and finance. However, as your business expands, you will reach a point where holding all the management responsibility means that you are restricting opportunities to develop and grow.

To avoid this situation, plan ahead and identify where your skills are of best value to the business and also note where they are less effective. This exercise allows you to start to consider

recruiting new managers (see pp.126–127) or developing your existing staff in order to share management responsibility. For example, if you excel at sales but find IT a challenge, recruiting an IT manager will allow you to concentrate on what you do best.

Sharing responsibilities

Your start-up probably cannot afford to employ a whole team of managers, but you may be able to recruit one or two to oversee linked tasks, such as customer service and sales, or operations and production. As your business grows, so can your management team, allowing each member to specialize in a given area of responsibility.

Production/ operations

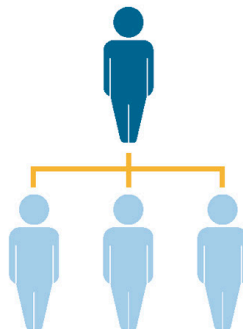
Plans, coordinates, and controls the systems used to produce goods or services.

Human resources

Plans staffing; recruits and trains employees; develops the culture and values of the company.

MANAGEMENT STRUCTURES

When recruiting managers into your business, it is important to create a formal management structure, with clear lines of authority and responsibility. In doing so, the manager has a clear understanding of their role and place in the business. It also allows any staff they manage to understand the chain of command. In large, established businesses, the management structure typically includes multiple levels. However, in small ones, it is likely to have just two or three levels, with you at the top.



Dividing functions

While you may manage everything at first, developing an effective management team is always something you should plan for in order for the business to succeed. Divide your business into functional areas, with a manager overseeing each area, or spanning related areas, and with you in overall control.